CORPORATE REPORTING

Suggested Answers
July-August 2025

Answer to the Question# 1(a):

Consolidated statement of financial position of Dhaka Ltd as at 31 March 2025

	Tk.	Tk.
Assets		
Non-current assets		
Property, plant and equipment (660,700 + 635,300+24,000-1,000(W1)-3,000(W7)		1,316,000
Intangibles (Goodwill) (101,300+144,475(W2))		245,775
Investment in joint venture (W6)		93,600
		1,655,375
Current assets		
Inventories (235,400+195,900=2,400(W5))	428,900	
Trade and other receivables (174,900+78,800-50,000)	203,700	
Cash and cash equivalents (23,700+11,900+10,000)	45,600	
		678,200
Total assets		2,333,575
Equity and Liabilities		
Equity attributable to owners of Dhaka Ltd		
Ordinary share capital		100,000
Revaluation surplus		125,000
Retained earnings (W4)		1,099,550
		1,324,550
Non-controlling interest (W3)		190,025
		1,514,575
Current liabilities		
Trade and other payables (151,200+101,800-40,000)	213,000	
Taxation (85,000+80,000)	165,000	
Deferred consideration	441,000	
		819,000
Total equity and Liabilities		2,333,575

Working notes:

(1) Net assets - Khulna Ltd

	Year end (Tk.)	Acquisition (Tk.)	Post acq. (Tk.)
Share capital	500,000	500,000	-
Retained earnings	312,100	206,700	105,400
Less: intangibles	(72,000)	(90,000)	18,000
Fair value adjustment re PPE (120,000-(92,000x48/46))	24,000	24,000	-
Depreciation thereon (24,000 x 2/48)	(1,000)	-	(1,000)
PPE PURP (W7)	(3,000)	-	(3,000)
	760,100	640,700	119,400

(2)	Goodwill - Khulna Ltd	Tk.
	Consideration transferred (250,000+441,000-41,000(W4))	650,000
	Non-controlling interest at acquisition (640,700 (W1)x25%)	160,175
		810,175
	Net assets at acquisition (W1)	(640,700)
		169,475
	Impairment to date	(25,000)
		144,475

(3)	Non-controlling interest - Khulna Ltd	Tk.
	Non-controlling interest at acquisition (W2)	160,175
	Share of post acquisition reserves (119,400 (W1)x25%)	29,850
		190,025

(4)	Retained earnings	Tk.
	Dhaka Ltd	1,084,800
	Unwinding of discount on deferred consideration: two years (441,000-(441,000x1.052))	(41,000)
	Less: PURP (Khulna Ltd (W5))	(2,400)
	Khulna Ltd (119,400 (W1) x 75%)	89,550
	Sylhet Ltd (W6)	3,600
	Less: impairments to date (25,000+10,000)	(35,000)
		1,099,550

(5)	Inventory PURPs	%	Khulna Ltd (Tk.)	Sylhet Ltd (Tk.)
	Selling price	100	12,000	15,000
	Cost	-80	(9,600)	(12,000)
	Gross Profit	20	2,400	3,000

(6)	Investment in joint venture - Sylhet Ltd	Tk.	Tk.
	Cost		100,000
	Add: post acquisition profit	12,000	
	Less: PURP (W5)	(3,000)	
		9,000	
	x 40%		3,600
			103,600
	Less: impairment to date		(10,000)
			93,600

(7)	PPE PURP - Khulna Ltd	Tk.
	Assets now in Dhaka Ltd's books at 15,000 x 1/3	5,000
	Assets would have been in Khulna Ltd's books at 10,000 x 1/5	(2,000)
		3,000

Answer to the Question# 1(b):

Goodwill journal entries		Tk.	Tk.
DEBIT	Intangibles - goodwill	39,160	
DEBIT	Share capital	320,000	
DEBIT	Retained earnings	112,300	
CREDIT	Investment		385,000
CREDIT	Non-controlling interest (320,000+112,300) x 20%		86,460

Answer to the Question# 2:

(i) Contractual cash flows of a variable rate instrument meet the SPPI test, provided the interest rate reflects the consideration for the time value of money and credit risk. Since the variable interest rate is based on market terms, it seems the above criteria is met. Since this instrument has an interest rate cap, it has features of an instrument with a fixed interest rate as well. Through the interest rate cap, the variability of cash flows is reduced. Such an instrument meets the SPPI contractual cash flow characteristic test.

Classification:
This instrument is likely to be classified as **Amortized Cost** if the objective of holding the bond is to collect contractual cash flows, and those cash flows are solely payments of principal and interest (SPPI). However, if the bond is held for trading purposes, it would be classified at **Fair Value Through Profit or Loss (FVTPL)**.

(ii) IFRS 9 requires the terms of a convertible instrument to be analysed in its entirety. The interest rate for this type of a convertible note does not reflect only the consideration for the time value of money and credit risk. In addition, the holder is exposed to additional business risk as the return is linked to the value of the ordinary shares of the issuer. Therefore, the SPPI test is not met.

Classification:
As the SPPI test is not met , the instrument cannot be classified at Amortized Cost or at Fair Value Through Other Comprehensive Income (FVOCI). Instead, it must be classified at Fair Value Through Profit or Loss (FVTPL) as per IFRS 9.

Initial Recognition

- Recognize the convertible bonds at their fair value on the acquisition date.
- The fair value of the convertible bonds includes both the debt component and the embedded derivative (the option to convert into ordinary shares).

Subsequent Measurement:

- The entire convertible bond (both the debt and equity components) is measured at fair value at each reporting date.
- Changes in the fair value are recognized in profit or loss.

(iii) Contractual cash flows that are solely the payment of principal and interest on the principal amount outstanding are consistent with a basic lending arrangement. If the penalty is reasonable to compensate for early termination, and the early termination option is not contingent on any future event, this loan meets the SPPI test as it is consistent with a basic lending arrangement.

Classification:

This loan can be classified as Amortized Cost if the objective is to collect contractual cash flows, and the cash flows are SPPI. The prepayment feature doesn't change this classification as long as the penalties are reasonable compensation for early termination.

(iv) Per IFRS 9 (para 4.1.3a, B4.1.7B), the principle is the fair value of the financial asset at initial recognition. Accordingly, the fair value of this loan is the present value of future cash flows using the market rate of interest. The difference between the loan amount and the fair value is the interest revenue. Accordingly, based on the terms of the loan, the loan meets the SPPI test.

Classification:

The classification can be done at **amortized cost**. However, the below-market interest rate might necessitate an adjustment to the initial recognition to reflect the fair value, potentially leading to recognition of an expense or income for the difference between the fair value and the transaction price.

Answer to the Question# 3(a):

1. Profitability Ratios

Ratio	Formula	2023	2022	Comments
Gross Profit Margin	Gross Profit / Revenue	4.24%	12.13%	The margin has deteriorated significantly, indicating higher cost of goods sold relative to revenue. This suggests poor cost control or declining product pricing power—both warning signs for manufacturing companies.
Operating Profit Margin	Operating Profit / Revenue	-2.18%	7.45%	Operating margin turned negative in 2023, implying that core business activities are no longer profitable. The company is not generating enough revenue to cover its operating costs such as salaries, utilities, and admin expenses.
Net Profit Margin	Net Profit / Revenue	-5.44%	5.77%	Net loss in 2023 reflects deteriorating financial health. It indicates that, after covering all expenses including interest and taxes, the company is losing money with each unit of revenue.
Return on Assets (ROA)	Net Profit / Total Assets	-1.83%	2.18%	ROA has fallen below zero, suggesting that assets are being used inefficiently and are not generating returns. This is especially concerning for a capital-intensive business-like manufacturing.
Return on Equity (ROE)	Net Profit / Shareholders' Equity	-9.20%	9.53%	ROE turning negative shows destruction of shareholder value. It signals poor management performance in utilizing equity capital and implies a direct hit to investor returns.

2. Liquidity Ratios

Ratio	Formula	2023	2022	Comments
Current Ratio	Current Assets / Current Liabilities	0.83	0.62	Though it improved slightly, the ratio remains below 1, indicating that current assets are not sufficient to cover short-term liabilities. This raises concerns about the company's ability to meet day-to-day obligations without external support.
Quick Ratio	(Current Assets - Inventories) / Current Liabilities	0.35	0.25	The very low quick ratio suggests that even excluding slow-moving inventory, the company lacks liquid assets to pay its short-term liabilities. The issue is worsened by the fact that FDRs (typically a liquid asset) are locked and thus unusable.

3. Leverage (Solvency) Ratios

Ratio	Formula	2023	2022	Comments
Debt-to-Equity Ratio	Total Liabilities / Shareholders' Equity	4.02	3.38	This high and rising ratio shows that the company is heavily financed through debt. Such leverage increases financial risk, especially in the absence of strong earnings, and may jeopardize solvency if lenders tighten credit.
Equity Ratio	Shareholders' Equity / Total Assets	19.9%	22.8%	The equity portion of the asset base has decreased, reflecting rising liabilities and losses eroding equity. A low equity ratio limits borrowing capacity and weakens the financial cushion in times of distress.
Interest Coverage Ratio	EBIT / Interest Expense	-0.23	0.72	A negative interest coverage ratio means the company is not earning enough from operations to pay interest on its debts. Continued inability to cover financing costs from operating profits can lead to default or bankruptcy.

4. Efficiency Ratios

Ratio	Formula	2023	2022	Comments
Inventory Turnover	Cost of Revenue / Inventory	1.16x	1.52x	A declining inventory turnover ratio suggests that inventory is piling up and not being converted into sales efficiently. This could indicate reduced demand, production halts, or poor inventory management.
Asset Turnover	Revenue / Total Assets	0.34x	0.38x	The drop in asset turnover indicates declining efficiency in utilizing assets to generate revenue. It implies underutilization of facilities and possibly excess capacity, especially concerning given that the factories are now non-operational.

Based on the financial analysis and qualitative factors, Peanuts Group Limited (PGL) should not proceed with an investment in Rose Fashion PLC at this time due to the following red flags:

- **Loss-Making Operations:**
  Rose reported a net loss of BDT 43.33 million in 2023, reversing from a profit of BDT 50.67 million in 2022. This signals a sharp decline in business fundamentals. Gross profit margin dropped from 12.13% to just 4.24%, and both operating and net profit margins are now negative, reflecting unprofitable core operations.
- **Weak financial performance and position**
  Current Ratio of 0.83 and Quick Ratio of only 0.35 highlight serious liquidity issues. This implies that Rose may struggle to meet short-term obligations without restructuring or external funding. Furthermore, Rose has negative interest coverage which implies that Rose cannot generate enough operating profit to cover interest expenses, increasing the risk of default and further losses.
- **Factory Non-Operational:**
  As of January 2025, Rose's factories are reportedly non-operational, confirmed by a Dhaka Stock Exchange inspection. This renders revenue growth unlikely and raises questions about business continuity. There is no public evidence of a recovery plan, capital injection, or strategic restructuring to resolve the operational shutdown.

- **Director Selling Shares:**
  A company insider (director) declared plans to sell part of their holding. This may signal a lack of confidence in the company's future and can drive market prices down.
- **Speculative & Unsustainable Share Price Surge**
  Price rose from BDT 120 to BDT 144 within a week—a 20% increase—despite worsening fundamentals. Peer companies' prices are between BDT 40–65, meaning Rose is potentially overvalued, likely due to speculation or market manipulation. Historical dividend payout has been low (1–5%), and with current losses, future dividends are unlikely, reducing the intrinsic value of the share.
- **Emphasis of Matter in Audit Opinion:**
  While the audit is unqualified, the auditor highlighted concerns about liquidity risk and reinvestment of FDRs, pointing to financial stress.

Answer to the Question# 3(b) (i):

Equity Settled Share Options:

New Vision granted 200,000 equity settled share options on 01 July 2023 with a 4-year vesting period. It expects that 5% of options will be forfeited each year. This means it expects to $(1\text{-}0.05)^4 = 0.8145 = 81.45\%$ share options i.e. 200,000 x 81.45% = 162,900 share options to vest at maturity.

On the grant date, the fair value of each share option was BDT 50. So the fair value of the share options that would vest is 162,900 x 50 = 8,145,000.

Expense for the year is BDT 8,145,000 / 4 years = BDT 2,036,250.

New Vision should post following Journal Entry:

Employee Benefit expenses		Dr.	2,036,250
Equity- Share Option Reserve	Cr.		2,036,250

Share appreciation rights

On 01 July 2023, New Vision issued 5,000 Share Appreciation Rights (SARs) to each of its 10 Managers. Total SARs granted = 5,000 x 10 = 50,000 SARs.

On the grant date each of the SARs has a fair value of BDT 35 which increased to 42 at the year end. SARs are granted with 3-year vesting period and 2% of the SARs are expected to be forfeited during the vesting period. Therefore, total SAR expected to vest = 50,000 x (1 – 0.02) = 49,000 SARs

Fair value of the SARs are equal to the share price and at the year end Fair value was BDT 42 per SAR. This means the share price at the year end is BDT 42 which exceeds the threshold of BDT 40. So, all SARs are expected to vest at BDT 42. The expense would be allocated over 3-year period

Therefore, SAR related expenses for the year will be (42 x 49,000X 1/3) = 686,000.

The following journal entry should be recognized:

Employee Benefit expenses		Dr.	686,000
SAR Liabilities	Cr.		686,000

Convertible Bond

1 January 2024 New Vision Issued 5,000,000 bonds with Face Value of 100 taka with 4 years maturity. Declared coupon rate is 8% whereas the market returns rate is 10% for similar instruments. As the bond is convertible to equity, it should be separated between Equity Components and Debt Components. To determine the debt component, market return rate would be used for discounting.

Determining the liability component:

Principal Amount = (5,000,000 x 100) = 500,000,000
Coupon rate = (500,000,000 x 8/100) = 40,000,000

The present value of the coupons is:

$$= \frac{40{,}000{,}000}{(1.1)^1} + \frac{40{,}000{,}000}{(1.1)^2} + \frac{40{,}000{,}000}{(1.1)^3} + \frac{40{,}000{,}000}{(1.1)^4}$$

= BDT 126,794,618

The present value of the principal is:

$$= \frac{500,000,000}{(1.1)^4} = \text{BDT } 341,506,728$$

Total Debt component = BDT 126,794,618 + BDT 341,506,728 = BDT 468,301,346
Hence, Equity Component = 500,000,000 - 468,301,346 = BDT 31,698,654.

New Vision Should recognize BDT 468,301,346 as debt component and BDT 31,698,654 as equity component. It should also recognize and interest expense for 6 months

= 468,301,346 x 10% * 6/12 = 23,415,067

The following entries should be posted

Cash		Dr.	500,000,000
Bonds Liability	Cr.		468,301,346
Equity – Bond conversion		Cr.	31,698,654
Finance Expenses		Dr.	23,415,067
Bonds Liability	Cr.		23,415,067

Answer to the Question# 3(b) (ii):

Adjusted net profit:

Pre-adjusted and pre-tax profit	65,750,000
Less: Equity Settle Share option	(2,036,250)
Less: SAR expense for the year	(686,000)
Less: Bond finance expenses	(23,415,067)
Adjusted Pre-Tax Profit	**39,612,683**
Less: Tax expenses (25%)	(9,903,171)
Net Profit for the year	**29,709,512**

Calculation of Basic EPS:

Weighted Average Number of Shares outstanding (WASO):

Share issue Date	Number of Shares	Months Outstanding	Weight	Weighted Average
01 July 2023	70,000,000	12	12/12	70,000,000
01 December 2023	700,000	7	7/12	408,333
01 April 2024	1,300,000	3	3/12	325,000
Total	**72,000,000**			**70,733,333**

Therefore, Basic EPS = Net Profit / Weighted Average Number of Shares outstanding
= 29,709,512 / 70,733,333
= 0.42

Calculation of Diluted EPS:

Weighted Average Number of Shares outstanding = $\frac{Net\ profit + Diluted\ effect\ on\ P\&L}{WASO + Diluted\ Shares}$

To calculate Diluted EPS, all expected share issues should be considered:

1: For the Share option, 162,900 share options is expected to vest.
2. From convertible bond, 500,000,000/10 = 50,000,000 shares are expected to be converted.

Therefore, Diluted EPS = $\frac{29,709,512 + 17,561,300}{70,733,333 + 162,900 + 50,000,000} = \frac{47,270,812}{120,896,233} = 0.39$

Therefore, New Vision Basic EPS for the year ended 30 June 2024 is 0.42 whereas diluted EPS is 0.39.

Answer to the Question# 4(a):

The significant risks of misstatement in Nova's financial statements are as follows:

1. **Risks of overstatement of revenue**:
   A heightened risk of improper revenue recognition due to fraudulent practices, such as the use of fake customer acceptance signatures on delivery notes. This indicates that revenue may be recorded prematurely for sales that have not been completed, leading to inflated revenue and potentially overstated profits. Furthermore, the company's aggressive push to meet sales targets in the final months of the year, including the recognition of sales where delivery has not occurred, adds further complexity and risk to the accuracy of reported revenue.

2. **Risks of overstatement of inventories:**
   Given that Nova relies on third-party warehouses to report inventory balances and movements, there is a risk that inventory records may be inaccurate or manipulated. The audit needs to verify whether the reported inventory matches the physical inventory and whether any discrepancies have been adjusted to meet the year-end target. In addition, there may be risks associated with year-end inventory adjustments or write-offs that are improperly recorded to achieve a desired financial position, especially in light of the push to meet sales targets.

3. **Risk of overstatement of receivables due to incorrect revenue recognition and measurement of bad debt:**
   The significant portion (60%) of outstanding receivables related to "guaranteed sales" introduces a risk related to the collectability of these receivables. Given that many of these are overdue for extended periods, there is a risk that the allowance for bad debts may be inadequate, which could lead to overstated receivables. Specifically, the relationship with a customer who has not made any payments for over a year yet continues to receive credit sales under a "guaranteed" arrangement raises concerns about the recoverability of these receivables and the risk of overstated assets.

4. **Risk of fraud due to management override of controls**:
   The internal audit has highlighted significant risks associated with the involvement of the Marketing Director and Managing Director in encouraging improper sales practices, including the use of post-dated cheques to misstate cash receipts. This points to the risk of management override of controls, which could lead to fraudulent reporting in both revenue and cash balances. The use of post-dated cheques shown as cash receipts and the improper recognition of revenue could result in a misstatement of both the cash balance and revenue. This fraud risk is significant, especially with senior management's direct involvement.

5. **Sales Incentive Risk:**
   The approval and subsequent revocation of the sales incentive based on inflated or improper year-end sales recognition raises concerns. If the sales incentives were based on manipulated sales figures, this would result in overstated expenses and liabilities, affecting the company's reported profitability and financial position.

Answer to the Question# 4(b):

To address the identified risks, the following audit procedures should be designed:

1. **Revenue Recognition Testing:**
   - Perform detailed testing of a sample of year-end sales transactions to verify that revenue was only recognized for goods actually delivered to customers. Cross-check delivery notes and customer acceptance confirmations to ensure that recorded sales are legitimate.
   - Inspect sales agreements, correspondence, and shipment records to ensure that all recognized revenue corresponds to actual sales activity and was recorded in the correct period.
   - Review credit sales transactions and confirm whether extended credit terms are in line with company policy and industry standards, particularly for the "guaranteed sales" arrangements.

2. **Inventory Testing and Reconciliation:**
   - Perform physical inventory counts to verify the accuracy of the recorded inventory balances. Compare these results with the third-party warehouse reports and investigate any discrepancies.
   - Review year-end inventory adjustments to ensure they are properly supported with documentation and not made to manipulate financial results.
   - Test the reconciliation process between the third-party warehouse records and Nova's internal accounting software, ensuring consistency and accuracy.

3. **Receivables and Allowance for Bad Debts Testing:**
   - Review the aging of receivables, with particular attention to those associated with guaranteed sales and overdue accounts and assess whether the allowance for bad debts is sufficient.
   - Confirm a sample of significant receivables directly with customers, particularly those with overdue balances, to assess the likelihood of collection and the appropriateness of the reported balances.
   - Evaluate the provision for bad debts based on historical trends, the customer's payment history, and any communications from customers regarding payment.

4. **Fraud Risk and Management Override Testing:**
   - Perform an in-depth investigation of the post-dated cheques, ensuring that they were not improperly recorded as cash receipts. Review bank statements and cash transaction records for any inconsistencies.
   - Investigate the involvement of the Marketing and Managing Directors in encouraging sales practices that violate company policies, and review communications with the sales team regarding these actions.
   - Assess the adequacy of internal controls over revenue recognition, cash receipts, and sales transactions, with a focus on management's ability to override controls.

5. **Sales Incentive Testing:**
   - Review the approval process for the sales incentive and assess whether it was based on valid and accurate sales figures. Evaluate whether the incentive was aligned with actual performance, or if it was influenced by improper sales recognition.
   - Investigate any subsequent changes in the sales incentive approval and revocation process, ensuring that adjustments are properly reflected in the financial statements.

Answer to the Question# 4(c):

Based on the significant risks identified, especially the potentially fraudulent activities and improper revenue recognition, the auditor is likely to issue a qualified opinion or adverse opinion:

1. **Qualified Opinion:**
   If the issues, such as the recognition of fake sales and misclassification of cash receipts, are isolated and can be corrected with specific adjustments, a qualified opinion would be issued. The auditor would highlight the areas where the financial statements do not present a true and fair view, including the misstatements in revenue and receivables.

2. **Adverse Opinion:**
   If the fraud and misstatements are pervasive and materially affect the overall reliability of the financial statements, an adverse opinion would be issued. This would indicate that the financial statements do not fairly represent the company's financial position and results due to material misstatements in multiple areas.

In either case, the auditor's report should provide a detailed explanation in the Basis for Opinion for each issues identified and their impact on the financial statements.

Answer to the Question# 4(d):

The potential involvement of the **Marketing Director** and **Managing Director** in fraudulent activities would have several significant impacts on the audit:

1. **Increased Risk of Material Misstatement:**
   The direct involvement of senior management in fraudulent activities, particularly in revenue recognition and cash receipts, significantly increases the risk of material misstatements in the financial statements. This could lead to misreporting of both revenue and cash balances.

2. **Expanded Audit Procedures:**
   Given the potential for management override of controls, the auditor would need to expand their testing to focus on areas susceptible to manipulation. This includes detailed examination of sales transactions, revenue recognition policies, and cash reporting procedures.

3. **Reporting Requirements:**
   If fraud is identified, the auditor may need to report the findings to the board, and in some cases, to external regulatory authorities, depending on the severity and legal implications of the fraudulent activities.

4. **Probable resignation of auditor:**
   As both signatories participated in the fraud, it raises questions about their integrity. As they will give representation letters to the auditor and sign the financial statements, their acceptability will become questionable. The auditor might not feel comfortable to obtain representation letter and sign on the financial statements approved and signed by them. In that case auditor might have to resign. Furthermore, the auditor may escalate the issue to the shareholding company and request the change of company's directors.

Answer to the Question# 4(e):

The ethical issues in this case involve both professional ethics and corporate governance concerns:

1. **Pressure from Management:**
   The pressure from Mr. Tariq and senior management to issue an unmodified opinion presents a clear ethical issue, as it conflicts with the auditor's duty to provide an independent and objective opinion. The auditor should resist any pressure to issue an opinion that is not supported by the evidence, maintaining professional integrity and objectivity throughout the audit process.

2. **Fraudulent Financial Reporting:**
   The involvement of senior management in encouraging fraudulent reporting, including fake sales and misclassification of cash receipts, is a serious ethical issue. The auditor must address this by investigating the extent of the fraud, ensuring that the financial statements reflect the true financial position, and reporting any illegal activities to the appropriate authorities.

3. **Conflict of Interest:**
   The personal relationship between Mr. Tariq and the audit team could create a conflict of interest, potentially compromising the auditor's objectivity. To mitigate this, the firm should consider assigning a different auditor to the engagement if necessary and ensure that all audit procedures are performed impartially.

4. **Responsibility to Stakeholders:**
   The auditor has an ethical responsibility to stakeholders, including shareholders, creditors, and employees, to ensure that the financial statements provide a true and fair view of the company's financial position. If fraudulent activities are discovered, the auditor must communicate these findings clearly in their report, irrespective of the consequences for management.

5. **Compliance with Professional Standards:**
   The auditor must adhere to the ethical guidelines and professional standards set by regulatory bodies such as the ICAB and FRC. This includes ensuring independence, objectivity, integrity, and transparency in the audit process. If fraud is discovered, the auditor must take appropriate actions,

Answer to the Question# 5(a):

Regulatory Compliance Status & Non-compliances:

A. Audit Firm's Compliance Status

- **Professional Clearance** – ICAB Bye-Laws require successor auditor to obtain professional clearance from the outgoing auditor before commencing work. This has not yet been obtained. This is a Non-compliance under ICAB professional standards.
- **Independence Breach** – One audit team member owns shares in Kingpin, and another has a close family member (brother) employed at Kingpin. Although the brother of the team member is not in a decision-making position, it is still a Non-compliance with ICAB Code of Ethics & IFAC requirements.
- **Audit Engagement Acceptance** – Under Companies Act 1994 (Section 210) and BSEC Corporate Governance Code (2018), auditors must ensure independence and objectivity before accepting the audit. Current circumstances indicate a breach.

B. Kingpin's Compliance Status

- **Corporate Governance Code Non-compliance** – Internal audit department reporting to CFO (not Audit Committee) violates BSEC Corporate Governance Code Clause 6. Audit Committee meetings only once a year also violate meeting frequency and review requirements.
- **Related Party Disclosure** – Non-disclosure of related parties with same registered address as Chairman's relatives breaches IAS 24 Related Party Disclosures.
- **Tax Expense Omission** – No tax expense despite large profit may indicate non-compliance with Income Tax Act and incorrect application of IAS 12 Income Taxes.
- **Environmental Compliance** – No increase in environmental compliance costs despite high production may breach environmental laws (Environment Conservation Act 1995) and misstatement risk.
- **Foreign Exchange Gains Classification** – Large reclassification from finance expense to finance income without sufficient support may breach IFRS 9 Financial Instruments presentation requirements.

Answer to the Question# 5(b):

Risks and Audit response:

1. Undisclosed Related Party Transactions

Several suppliers and distributors share the same registered address as companies owned by the Chairman's relatives, but these are not disclosed in the related party note. Risk of non-compliance with IAS 24 Related Party Disclosures and possible misstatement of balances or transactions.

Audit Response:

- Perform a public record search (RJSC) to identify entities connected to directors and key management.
- Match supplier/distributor addresses in purchase/sales ledgers to related entities' addresses.
- Review board minutes, contracts, and correspondence for evidence of related party transactions.
- Send confirmations directly to suspected related parties of transaction amounts and balances.

2. Elimination of Related Party Payables

Prior year related party payables were removed from the balance sheet without any bank record of settlement. Risk of fictitious settlement or misclassification.

Audit Response:

- Trace eliminations to supporting documents, such as payment vouchers or journal entries.
- Review bank statements for cash outflows matching the settlement amount.
- Obtain direct confirmations from related parties regarding outstanding balances and any settlements.
- Investigate if settlements were non-cash (e.g., offsetting arrangements) and assess appropriateness under IFRS.

3. Foreign Exchange Gains Misstatement

Finance cost of BDT 42m in prior year changed to BDT 130m income this year. Management claims it's due to FX gains on supplier advances, but no independent confirmation exists. Risk of deliberate overstatement of income.

Audit Response:

- Obtain supplier advance agreements and determine the currency denomination.
- Recalculate exchange gains/losses using Bangladesh Bank published rates at transaction and settlement dates.
- Confirm balances with suppliers, including currency and terms.
- Review journal entries for unusual FX-related adjustments near year-end.

4. Tax Expense Omission

No tax expense recorded despite significant profit. Possible non-compliance with IAS 12 Income Taxes and the Income Tax Act, risk of understatement of liabilities.

Audit Response:

- Recalculate current tax based on taxable income, applying applicable rates and allowances.
- Inspect tax returns and correspondence with NBR.
- Obtain management explanation for nil tax expense and corroborate with tax assessment notices.
- Evaluate any deferred tax implications under IAS 12.

5. Management Override of Controls (Fraud Risk)

CEO and CFO have strong influence, weak governance, and pressure for "record profits" with 15-day audit deadline. Heightened risk under ISA 240.

Audit Response:

- Perform journal entry testing, focusing on unusual adjustments and manual entries near year-end.
- Review accounting estimates for bias (e.g., provisions, impairments, FX gains).
- Conduct audit procedures such as surprise cash counts and off-cycle inventory counts.
- Corroborate management explanations with external evidence.

6. Revenue Recognition Manipulation (Fraud Risk)

Rapid turnover growth and pressure for "record profits" raise risk of premature or fictitious revenue recognition under IFRS 15.

Audit Response:

- Perform cut-off testing for sales recorded near year-end.
- Confirm sales with major customers and match dispatch dates to invoices.
- Test credit notes and returns issued after year-end for reversal of fictitious sales.

7. Inventory Valuation and Existence

Large inventory balance; risk of overstatement due to slow-moving or obsolete items, especially in imported goods from unstable regions.

Audit Response:

- Attend physical inventory count and perform test counts.
- Review aging analysis of inventory and compare to prior years.
- Inspect purchase and sales records for obsolete or slow-moving stock.
- Test valuation against net realizable value (NRV) under IAS 2 Inventories.

Answer to the Question# 5(c):

Internal Control Recommendations for Kingpin Ltd.

1. **Related Party Transactions**
   - Maintain a formal Related Party Register updated quarterly, containing names, addresses, and business connections of directors, key management, and their close family members.
   - Require all procurement and sales contracts above a threshold to be reviewed by the Audit Committee for related party links before approval.

2. **Settlement of Related Party Payables**
   - Require all liability settlements to go through formal payment authorization supported by bank transfer records or legally binding agreements.
   - Segregate duties so that no single person can both authorize and record settlement transactions.

3. **Foreign Exchange Gains/Losses**
   - Implement a monthly FX revaluation process using Bangladesh Bank official rates, reviewed and signed off by the finance manager and internal audit.
   - Require independent reconciliation of supplier advances in foreign currency.

4. **Tax Expense Recognition**
   - Conduct quarterly tax provision reviews by an independent tax consultant.
   - Have internal audit verify that tax computations comply with the Income Tax Ordinance 1984 before year-end close.

5. **Environmental Compliance Costs**
   - Maintain an environmental compliance ledger to track costs, certifications, and penalties.
   - Require periodic reporting to the Board on environmental obligations and expenses.

6. **Management Override of Controls**
   - Strengthen Audit Committee oversight by holding meetings at least quarterly and reviewing financial statements and significant transactions.
   - Implement a whistleblower policy allowing employees to report irregularities directly to the Audit Committee.

7. **Revenue Recognition**
   - Enforce cut-off testing controls by matching sales invoices to dispatch notes and customer acknowledgments before revenue recognition.
   - Require finance department review of large or unusual sales transactions at year-end.

8. **Inventory Valuation and Existence**
   - Conduct quarterly inventory counts with reconciliation to accounting records.
   - Introduce a slow-moving inventory report reviewed by production and finance teams.

Answer to the Question# 5(d):

Ethical Threats and Safeguards – Kingpin Ltd.

1. Self-interest Threat

A self-interest threat arises because one of the audit team members owns shares in Kingpin Ltd., which represents a direct financial interest in the audit client. This creates a risk that the auditor's judgment and objectivity may be influenced by the potential impact of the audit opinion on the value of those shares. In the Bangladesh context, this is a clear breach of the ICAB Code of Ethics and Companies Act 1994 independence requirements.

Safeguards:

- Immediately remove the team member from the engagement.
- Require disposal of shares before participation in future work for the client.
- Reconfirm independence of all engagement team members before continuing the audit.

2. Familiarity Threat

A familiarity threat exists because the CFO is a former employee of the audit firm and maintains close personal relationships with current team members. Additionally, one engagement team member's brother is employed as a marketing executive at Kingpin. These personal and professional ties can cause the auditor to become too sympathetic to the client's interests or too accepting of management representations without sufficient challenge.

Safeguards:

- Rotate senior engagement team members to avoid prolonged relationships.
- Remove the staff member with close family connection from the engagement.
- Increase professional skepticism and implement independent quality control review.

3. Intimidation Threat

An intimidation threat arises because management is pressuring the audit team to complete the audit within 15 days and avoid "overcomplication" in related party disclosures. Such pressure can deter auditors from performing sufficient audit procedures, reduce professional skepticism, and influence the scope of the audit. This threat is particularly concerning given management's public statements about "record profits," which increases the risk of bias in reporting.

Safeguards:

- Communicate directly with the Audit Committee to agree on a reasonable timetable.
- Document all instances of pressure and assess whether engagement terms should be revised.
- Apply strict adherence to ISA requirements regardless of management timelines.

4. Self-review Threat

A self-review threat may occur if the audit team relies heavily on schedules and calculations prepared by management, particularly if the firm had previously provided non-audit services that contributed to the preparation of these figures. This would place the auditors in the position of reviewing their own work, impairing independence.

Safeguards:

- Ensure all audit evidence is obtained from independent sources where possible.
- Avoid providing accounting or bookkeeping services to Kingpin during the audit period.

5. Advocacy Threat

An advocacy threat is present because the CFO's close relationship with the audit firm could create an expectation that the firm will support management's narrative of "record profits" in public communications, such as the planned press release. Acting in a manner that promotes the client's position would compromise the auditor's independence and appearance of objectivity.

Safeguards:

- Avoid involvement in client promotional material.
- Decline any role that may be perceived as endorsing client performance or profitability.

---The End---